

SDAHC RESEARCH

Specialist Disability Accommodation Administration & Special Situations Report 2026

A Commercial Guide for Administrators, Receivers, Secured Lenders
and Restructuring Advisers

UNDERSTAND • PAGE 2

Why SDA Is Different

What am I actually dealing with?

Specialist Disability Accommodation, or SDA, is a young asset class — commercially meaningful data has only existed for around a decade, and public comparable-sale evidence remains limited. A common source of value leakage is treating an SDA appointment as a conventional property realisation — because an SDA appointment is not one asset. It is two.

Because the class is nascent, SDA in-use value and alternative-use value can diverge significantly, in either direction. Sometimes that gap reflects a fundamental impairment. Sometimes it reflects a remediable chokehold. Specialist commercial diagnosis is what tells the difference — this report explains why, not how to perform that diagnosis yourself.

A. The SDA Freehold Property

- SDA in-use economics
- Underlying alternative-use property value
- Participant funding
- Occupancy quality
- Location
- Design category
- Building type
- Fire sprinkler configuration
- Remaining SDA pricing tenure
- Provider arrangements
- Buyer / investor mandates

B. The SDA Provider Business / Provider Rights

- Provider registration
- Participant relationships
- Service and management agreements
- Claiming and administration
- Tenancy and provider transition
- Contractual rights and obligations

This report does not attempt a full provider-business valuation — the two exposures are not interchangeable, and an appointee needs to know which one they're actually assessing.

Read alongside: this report should be read in conjunction with **SDA Market Report 2026**, which provides commercial insight into the SDA asset class's first decade. This report does not repeat that material — it focuses on administration, distress, recovery and realisation for an individual appointment.

UNDERSTAND · PAGE 3

When the Appointment Lands / How to Use This Report

| *How should I use this report?*

An SDA appointment usually begins as a property or corporate matter — a fund, a trust, a group of special purpose vehicles, secured debt, a portfolio of dwellings. The formal appointment concerns entities, security and real estate. But an SDA dwelling only produces **SDA income** where NDIS enrolment, participant-specific funding, occupancy, a functioning provider relationship and active claims collection all hold together — other income, such as reasonable rent contribution, may continue even where the SDA component is not. Any one of these can be missing without changing what the freehold, title or structure chart shows. Page 5 sets out the full chain.

| *You may have been appointed over real estate. The recovery may depend on far more than the real estate.*

This report is organised around four questions a reader in a live appointment needs answered, roughly in order:

<i>“What am I dealing with?”</i> pages 2, 4–5	<i>“What can go wrong?”</i> pages 6, 9, 10, 13, 14, 18
<i>“Where is the value?”</i> pages 8, 11, 12, 16–17	<i>“What should I do next?”</i> pages 6–7, 15, 19, 21–23

PAGES	STAGE	READER QUESTION
2, 4–5	Understand	Why is this not conventional property? What am I dealing with?
6–7	Engage specialist	What should I do next?
8–14, 18	Commercial Vendor Due Diligence	Where is the value? What can go wrong?
15–16, 19	Remedy / Position	What should I do next?
17, 20–23	Realise	All four, applied

Page 20 applies the report to a transparent composite example, using Specialist SDA Commercial Vendor Due Diligence to work through it. Pages 21–22 then distil the report into a decision tree and a set of broad realisation workstreams — both usable independently of the rest of the document. This is a commercial guide, not legal, tax, insolvency or investment advice. See page 24.

UNDERSTAND • PAGE 4

What the Headline Demand Data Does Not Tell You

Does eligible SDA funding mean viable demand for this dwelling?

The NDIA's own published data already treats the SDA market position as several distinct measures, not one. As at 30 June 2026 — the latest official dataset verified for this report — 16,644 active participants had SDA funding in use, while a further 9,014 were assessed as eligible for SDA but not yet using it. Enrolled dwellings grew from 7,925 in June 2023 to 14,235 in June 2026; annualised SDA supports over the same period rose from \$365m to \$684m.

Eligibility, or the existence of SDA funding, does not by itself establish commercially viable demand for a particular enrolled dwelling. The quarterly data is not granular enough for an investor to tell, from the headline eligible-not-using count, whether an individual participant's funding level is commercially aligned with a specific dwelling's enrolled pricing capacity. A participant can technically hold SDA funding at a level materially below the enrolled income capacity of the dwelling they wish to occupy.

The consequence: headline eligible-not-using volume may overstate economically addressable demand for some properties; a physically occupied place can still be materially underfunded relative to its enrolled pricing capacity; lower participant-specific funding can materially affect sustainable income and therefore in-use capital value. Some of these situations can be remediated. Others cannot — identifying which is a diagnosis, not an assumption either way.

NDIA quarterly reporting has separated "eligible, not yet using" from "using" participants only since the Q4 2024-25 (30 June 2025) release; earlier quarters report a single combined figure that cannot be added to this series without mixing definitions. Across the four quarters this split has been published, the eligible-not-using count has moved from 9,880 (June 2025) to 9,577 (December 2025) to 9,370 (March 2026) to 9,014 (June 2026) — a 12-month, four-quarter series that is trending down, not a static three-year pattern.

From 27 August 2026, new requirements apply to participant-requested plan reassessments, including prescribed evidence of a significant and ongoing change in support needs. The effect on individual SDA funding outcomes should not be inferred from this change alone.

16,644

SDA in use

9,014

Eligible, not yet using

14,235

Enrolled dwellings

As at 30 June 2026 — separate NDIA measures, not a combined vacancy rate.

Eligible-not-using participants, June 2025 → June 2026 (the only period NDIA has published this split): 9,880 → 9,577 → 9,370 → 9,014 — a 12-month decline, not a three-year stable pattern.

What Must Line Up for an SDA Asset to Work

| *What am I dealing with?*

The chain below is what has to hold together for an SDA dwelling to convert into transaction value. Enrolment alone does not create funding. Funding alone does not create occupancy. Occupancy alone does not create claimable, collected cash.

The SDA Rules set these conditions out independently: a registered provider, an enrolled dwelling, an eligible participant actually residing there, and alignment between the dwelling's design category and the participant's plan. All must be satisfied together — none substitutes for another.

A healthy asset shows alignment end to end. A distressed asset shows a break somewhere in the chain — and the rest of this report is a method for finding exactly where.



SOURCES Specialist Disability Accommodation Rules 2020 (Cth), current compilation

The First 48 Hours

What should I do next?

The first 48 hours are not about completing full due diligence — they are about not losing ground that is hard to recover later. Six things need eyes on immediately.

If the appointee is not experienced with SDA, research and appoint a specialist SDA commercial adviser early.

People

Identify participant continuity and housing/support risks immediately.

Income

Identify what is currently being claimed and where the cash lands; preserve access to claiming, occupancy and funding information.

Enrolment

Confirm current enrolment status and any known change or re-enrolment requirement.

Property

Secure the physical asset — insurance, access, condition.

Contracts

Identify the current registered SDA provider and the relevant provider/tenancy agreements. Where the entity in administration is the provider, or related to it, assess whether an independent provider transition is required and obtain specialist and legal advice where necessary — engage constructively with the current provider in the meantime.

Evidence

Start preserving records before anything is moved or lost.

Participant and provider continuity is not the same task as securing a vacant commercial building — treat it as a distinct, earlier priority.

SOURCES NDIS, Guide to Providing Specialist Disability Accommodation (SDA)

COMMERCIAL VENDOR DUE DILIGENCE · PAGE 7

The First 30 Days

What should I do next?

Page 6 covers the first 48 hours. This page sets the sequence for the full first month — in substance, this is what Specialist SDA Commercial Vendor Due Diligence looks like once a specialist adviser (page 6) is engaged.

Secure

Protect participants, income, enrolment, property and records.



Reconcile

Establish what is actually being claimed, collected and spent, against what the file says should be happening.



Diagnose

Identify which links in the page 5 chain are broken, and why (page 13).



Stabilise

Close the gaps worth closing before any transaction.



Value

Test the current valuation assumptions and establish the relevant value reference points, rather than relying on a pre-appointment valuation (page 12).



Decide

Hold, stabilise further, sell as-is, or restructure the provider relationship (page 17).

Treat this as the default reading order, not a rule to follow lock-step. Commercial diagnosis and divestment preparation can run in parallel once time pressure is material — waiting to "fix everything" before considering a sale is not always the economically rational choice. Page 19 returns to this trade-off directly.

From Maximum SDA Price to Actual Cash

| *Is the revenue real?*

NDIS SDA pricing sets maximum prices for SDA supports — the NDIA describes them as "appropriate and reasonable maximum prices," not guaranteed income, and its price calculator is an expected-income tool, not proof that a specific dwelling will receive that amount.

Getting from that headline price to cash in a property's account means the revenue has to survive five more steps: funding attached to a specific participant, alignment between that funding and this dwelling, actual physical occupancy, a claim correctly lodged, and a claim actually paid and collected.

The SDA pricing framework does not remove the owner's commercial exposure to the difference between theoretical pricing and realised property income — a gap that can arise from funding, occupancy, claiming or provider execution, not only from the pricing framework itself. Testing where that gap actually sits, asset by asset, is core Commercial Due Diligence work before a vendor pathway is chosen.

This page stops at cash received. What that cash is actually worth once operating costs are taken out is page 11's question, not this one.



SOURCES NDIS, SDA Pricing Arrangements 2026–27

Occupied Does Not Necessarily Mean Performing

Why can an occupied SDA place still underperform economically?

A dwelling can look fully occupied and still underperform economically. Physical presence is not the same as funding, and funding is not the same as a lodged and collected claim.

In practice this shows up as: funding that has not yet come through for a resident who has moved in; funding that does not match this dwelling's design category; a participant paying market rent rather than an aligned SDA arrangement; short-term, non-SDA support propping up occupancy; or a claim sitting unlodged or unpaid.

Each of these produces the same headline number — "occupied" — while producing a different income result. The gap between the two is usually where specialist diagnosis finds the surprise.

Page 18 turns this into a question of who determines whether that occupancy actually holds value. Here, the point is simpler: verify income, don't infer it from occupancy.

	NOT PHYSICALLY OCCUPIED	PHYSICALLY OCCUPIED
INCOME PERFORMING	Income recorded without physical occupancy — verify basis, timing and claim status.	Healthy: occupied, evidenced, collected
NOT INCOME PERFORMING	Vacant and not producing — the base case	Occupied but not performing — the gap diligence needs to find

SOURCES NDIA, Supplement P — Specialist Disability Accommodation, Q4 2025–26 (as at 30 June 2026) · Specialist Disability Accommodation Rules 2020 (Cth), current compilation

DUE DILIGENCE • PAGE 10

The Provider, Contractual and Participant Information Layer

Why is this information hard to see, and does that stop diagnosis?

SDA providers carry regulatory obligations under the SDA Rules — registration, enrolment maintenance, and compliance with the Rules' service requirements. Layered on top is a commercial agreement that allocates the economics between owner and provider. That second layer is not incidental — it can materially affect control, transition execution and saleability.

The relationship between owner, SDA provider, participants, participant funding, SIL/support providers and tenancy documentation can also make relevant commercial information genuinely difficult for an owner, lender or appointee to see clearly. That is not, on its own, a reason to stop diagnosis. Relevant commercial information can often be obtained and analysed in a de-identified manner that respects participant privacy and choice and control — this report does not give privacy or legal advice on how, only notes that the absence of direct participant detail should not automatically be read as an absence of diagnosable information.

REGULATORY LAYER (SDA RULES)

SDA providers carry regulatory obligations under the SDA Rules — registration, enrolment maintenance, and compliance with the Rules' service requirements.

COMMERCIAL LAYER (THE AGREEMENT)

A commercial agreement allocates the economics: who receives the SDA payment, who receives reasonable rent contribution, what fee the provider charges and on what base, who carries vacancy exposure, who pays routine maintenance versus capital works, and what happens on sale, breach, loss of registration or insolvency. This second layer is not incidental — it can materially affect control, transition execution and saleability.

1. Who is the registered provider?
2. Who receives SDA payments?
3. Who receives RRC / other rent?
4. What fee, on what base?
5. Who sources/places participants?
6. Who bears vacancy exposure?
7. Who handles tenancy administration?
8. Who pays routine maintenance?
9. Who pays capital works / certification?
10. What happens on sale or transfer?
11. What happens on breach, loss of registration or insolvency?
12. What does assignment/transition require?

Twelve recurring commercial questions, evidenced across a working sample of SDA agreements, cover this ground and can stand on their own as a commercial reference.

SOURCES Specialist Disability Accommodation Rules 2020 (Cth), current compilation · NDIS, Guide to Providing Specialist Disability Accommodation (SDA)

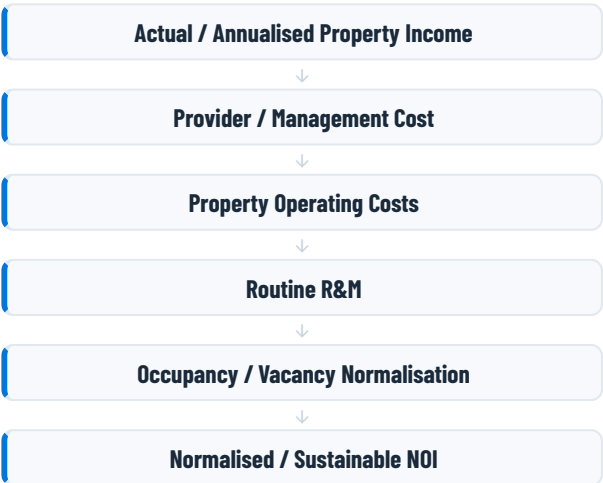
From Actual Income to Sustainable NOI

| *What does the asset actually earn on a sustainable basis?*

Accounting profit is not automatically transaction NOI. A sale-purpose reconciliation starts from actual or annualised property income — not the headline price from page 8 — and works down through the costs of running the asset day to day: provider and management fees, property outgoings (rates, insurance, water), routine repairs and maintenance, and occupancy normalised across a period rather than read off a single point in time. Non-recurring operating income or expenses are treated as normalisation adjustments where appropriate, depending on their nature. The result is normalised, sustainable NOI — not the accounting P&L, and not the maximum SDA price from page 8.

Sustainable NOI is not the same as post-CAPEX cash flow.

OPERATING RECONCILIATION



CONSIDERED SEPARATELY FROM NORMALISED NOI

- Known CAPEX / capital works
- Capital reserves where adopted
- Lease-up / stabilisation capital requirements

No single percentage applies to any of these steps across every asset — each has to be derived from the specific dwelling's own record, not assumed from a rule of thumb. This reconciliation is precisely what the diligence process tests before a sale, not something a headline P&L can substitute for.

DUE DILIGENCE • PAGE 12

Value References, Remaining Pricing Tenure and Highest and Best Use

Where is the value, and for how long does the current pricing basis last?

Two independently assessable value references frame the position for an SDA asset.

SDA In-Use Value Reference — a valuation of the asset operating under adopted assumptions: occupancy, funding, provider performance and cost structure.

Alternative-Use / Underlying Property Value Reference — a valuation of the underlying property under the relevant alternative-use assumptions.

Professional valuers assess these on different bases, and they can differ materially — in either direction, depending on location, design and local demand. SDAH has observed cases where the SDA in-use valuation materially exceeds the underlying alternative-use value, and cases where it does not. SDA in-use is not automatically the higher value: some assets can recover substantial SDA value through remediation; others cannot, and in those cases the highest and best use may ultimately be an alternative use. The in-use reference is conditional on assumptions — design category, participant mix, occupancy, provider arrangement, operating costs, lease-up allowance — that may not hold in a distressed matter.

Current Recovery Position — a commercial assessment of the current position, reflecting actual occupancy, participant funding, provider arrangements, contractual friction, required CAPEX, lease-up or stabilisation time, execution risk and holding costs. Current Recovery Position is not a third independent valuation methodology.

Verify the assumptions behind both value references, and the remaining New Build pricing tenure, before relying on a valuation produced before the appointment began.

FORMAL VALUE REFERENCES

SDA In-Use Value Reference

Alternative-Use Property Value Reference

Remaining New Build pricing tenure — distinct from enrolment; check per dwelling against the applicable pricing framework and rules, which may provide for a different (Existing Stock) pricing treatment once the New Build period ends; not modelled here. A buyer may reasonably underwrite an asset differently with materially more of that period remaining than with materially less.

COMMERCIAL ASSESSMENT

Current Recovery Position

commercial estimate — not an independent valuation

What Exactly Is Impaired?

What can go wrong, and how far does the diagnosis need to go?

A useful starting diagnosis is to test four potential sources of impairment.

Operational

The asset is enrolled and funded correctly, but day-to-day execution is failing: claims aren't lodged, records are poor, vacancy isn't being actively managed.

Provider / Contractual

The provider relationship itself is the problem: an unfavourable fee structure, unclear vacancy-risk allocation, a provider under pressure, or a contract that blocks a clean transition.

Capital Structure

Ownership, debt or security arrangements constrain recovery independently of, or in addition to, operating performance.

Fundamental Asset

Location, design category, configuration or realistic participant demand does not support the original SDA proposition.

These four sources are a diagnostic starting point, not an exhaustive substitute for Specialist SDA Commercial Vendor Due Diligence. Some engagements require a forensic level of commercial investigation — testing for hidden commercial conflicts or dependencies (related-party arrangements, undisclosed dependencies, participant/provider incentives, cross-entity arrangements) rather than an accusation against any identified party.

Identifying which source — or combination — applies determines the realistic recovery pathway. This is the working diagnosis the decision tree on page 21 tests further.

Hidden Chokeholds: What Affects Recoverability

| *What can go wrong, and is it fixable?*

The Current Recovery Position for an SDA asset (page 12) is not fixed — it moves with a number of factors, some within an appointee's control and some not. It does not necessarily start at, or move toward, the SDA in-use value reference; the two are related but distinct questions.

Not every constraint on recoverability is the same kind of problem. Some are chokeholds — specific, identifiable and economically remediable before a sale. Others are fundamental, and no reasonable remediation changes the underlying position. This commercial review exists to tell the two apart, asset by asset, rather than assuming either one by default.



Remediable chokehold, or fundamental impairment? A framing question for each factor above, not a scored classification.

No single percentage applies to any of these — the effect is specific to the asset, not a rule of thumb that transfers between matters.

Each of the four sources of impairment from page 13 tends to affect a different subset of these factors. Mapping the two together — and testing which factors are genuinely remediable — helps identify where value-protection effort may be most effective.

Information Readiness

Do I possess defensible evidence?

Before broad market launch or Buyer Due Diligence, the reader needs to know whether the evidence underneath the asset is actually defensible — not just complete-looking. That assessment runs across seven principal information categories that need to be reconciled together, not checked off in isolation.

Property Title, plans, chattels and physical condition.	Enrolment and certification Current enrolment status and design-category certification.
Participant funding and occupancy Funding alignment and occupancy quality, de-identified.	Provider and contracts Management, service and provider agreements.
Actual income and operating costs Realised income and the cost of running the asset.	Capital and compliance Outstanding CAPEX, compliance and certification items.
Transaction structure Security, ownership and transferability considerations.	

SDAHC maintains a detailed Specialist SDA Commercial Vendor Due Diligence information protocol. Contact SDAHC where a detailed, appointment-specific information request is required — see page 24.

Missing or inconsistent information in any of these categories does not just slow a process down — it becomes a value-at-risk issue once a buyer starts pricing the uncertainty. Reconciling them together, rather than category by category, is where Specialist SDA Commercial Vendor Due Diligence typically finds what a simpler review misses. This page is the audit. Whether you should actually launch, and in what order, is page 19's question.

One Portfolio or Several Transactions?

| *What should I do next?*

A portfolio does not have to be sold the way it was financed or owned. Packaging is a recovery decision, not a marketing format — the choice affects achievable value, the buyer universe you reach, and execution risk.

Buyer universe and achievable value can depend on considerably more than geography and provider structure alone. Institutional and fund mandates can differ materially, without any named buyer being identifiable from the pattern — these are examples of market segmentation dynamics, not a named buyer's mandate, a ranking, or SDAHC's own scoring or matching logic.

SDA design category	Building type
Fire sprinkler configuration	Remaining SDA pricing tenure
Participant / funding profile	Operating state
Provider structure	Alternative-use value
Geographic / SA4 location	Buyer / fund mandate
Portfolio size and homogeneity	

EXAMPLES OF MARKET SEGMENTATION DYNAMICS

- Some funds target specific design categories; others will consider multiple or all categories.
- Some require or prefer Class 3 or sprinkler-configured stock.
- Some exclude particular SA4 markets.
- Underwriting and discounted-cash-flow assumptions can vary by geography.

Single sale	Segmented sale
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Bundling may improve execution in some circumstances, while in others it can obscure asset-specific risk or narrow the buyer universe. A stronger asset may sometimes support the marketability of a weaker but complementary one; conversely, a strong and weak asset may simply have different buyer universes. The right answer depends on execution certainty and recovery — not on how the portfolio presents on a summary schedule.

Stabilise, Hold or Sell?

Is time creating value or destroying it?

There is no universally correct answer to whether time helps or hurts recovery. Stabilisation can create value — closing an occupancy gap, completing a provider transition, finishing outstanding CAPEX — or it can destroy it, through carry cost, continued vacancy and drift.

The decision comes down to balancing recovery potential against the cost of delay: how much recoverable improvement exists relative to the Current Recovery Position (page 12), how long that takes, what it costs to hold, and which source of impairment (page 13) is actually driving the distress. A provider-contractual problem with a credible transition plan is a different holding decision from a fundamental asset problem with no realistic fix.

POTENTIAL VALUE FROM WAITING

- Occupancy improvement
- Provider transition
- Completion of required CAPEX / remediation
- Other credible stabilisation upside

COST / RISK OF WAITING

- Carry cost
- Continued vacancy
- Time
- Execution drift / deteriorating position

DECISION TO TEST

Stabilise

Hold

Sell

Expedited exit / protect downside

The decision depends on the balance between credible recovery potential and the cost of delay.

A sequential rule — "fix everything, then decide" — is not always the right posture. Sometimes the clock is the biggest risk in the file.

Occupancy Quality Through Commercial Vendor Due Diligence

| *What sits behind the occupancy rate, and who determines whether it matters?*

Occupancy percentage by itself can be insufficient for a recovery decision. Two portfolios — or two multi-place assets — can report the same headline occupancy rate and carry very different income risk, depending on what stands behind that number. Headline occupancy is an operating statistic; Specialist SDA Commercial Vendor Due Diligence tests the quality, sustainability and value relevance of the occupancy behind the headline rate.

Five practical states are worth separating: occupied with aligned, evidenced funding; occupied with uncertain funding; occupied with temporary or non-SDA income support; vacant with a credible participant or funding pathway; and vacant with no credible pathway. Each implies a different starting point for the stabilise/hold/sell decision on page 17.

1	Occupied + aligned/evidenced funding	→ Lower immediate remediation requirement
2	Occupied + uncertain funding	→ Verify before relying on income
3	Occupied + temporary/non-SDA income	→ Income quality requires review
4	Vacant + credible funding pathway	→ Potential stabilisation case
5	Vacant + no credible pathway	→ Re-test the underlying SDA proposition

Occupancy rate alone can conceal material differences in income quality and stabilisation risk.

From Vendor Due Diligence to Market

Am I actually ready to go to market?

Page 15 established what needs to be reconciled. This page establishes the order — and the go/no-go judgement.

Specialist SDA Commercial Vendor Due Diligence verifies the information held is accurate and consistent, and reconciles it against actual claims, funding and occupancy records. Before broad market launch, material issues found this way should be resolved where practical, or clearly identified and documented. Targeted market sounding or transaction preparation may run in parallel where timing pressure makes a sequential process uneconomic — consistent with page 7’s observation that advisory and divestment work don’t always have to wait on each other.

Reasonable remedial and value-protection actions follow from that diagnosis, not before it. Once the asset or portfolio is market-ready — data room prepared around the resolved (or clearly flagged) position, defensible economics set using the NOI bridge from page 11, not the headline price from page 8, and the initial packaging strategy (page 16) established while retaining the ability to adapt it as credible market evidence emerges — a specialist SDA sales agency should be appointed for a targeted market process. A specialist agency should understand SDA portfolio sales, funding and occupancy economics, provider dynamics, buyer mandates, and in-use versus alternative-use value.



Launching before material issues are resolved or documented doesn’t remove the uncertainty — unresolved uncertainty can reappear in pricing, conditions, Buyer Due Diligence requests or execution time.

Distressed SDA in Practice

| *Where is the value? (illustrated)*

COMPOSITE EXAMPLE

Based on recurring issues observed across multiple SDAHc engagements. It does not represent one individual transaction.

An administrator is appointed over a portfolio of SDA dwellings. At appointment, the headline position appears straightforward: the dwellings are enrolled, occupied, and rent is being received.

Specialist SDA Commercial Vendor Due Diligence identified a different story: on one dwelling, SDA funding was never fully aligned to the design category built, so part of the reported income is ordinary rent, not an SDA claim; on another, a provider transition issue has left claim lodgement materially behind; on a third, vacancy has not been separately identified in the accounts, appearing simply as "no rent received."

Once page 11's operating reconciliation is applied, reconciled income sits below the headline position available at appointment. Value references are established per dwelling — SDA in-use once the funding and provider issues are resolved, alternative-use where SDA use may not be restorable.

The recovery choice is not one decision for the whole portfolio — it separates by dwelling: test whether the funding and occupancy mismatch can be economically rectified before sale, run an active provider-transition process on the second, and test the fundamental proposition on the third before committing further capital.

1 Secure Appointed over a portfolio; headline position looks straightforward	2 Reconcile Reconciliation surfaces three distinct issues across three dwellings	3 Diagnose Funding misalignment · provider transition · vacancy misclassification
4 Stabilise Operating reconciliation applied; reconciled income sits below headline	5 Value Value references established per dwelling — in-use and alternative-use	6 Decide Recovery choice separates by dwelling, not one portfolio decision

SDA Appointment / Realisation Decision Tree

What should I do next?

Start with one question: is verified sustainable income currently being produced?

If yes, test whether funding, occupancy, provider position and enrolment are all evidenced. If they are, test hold against a performing-SDA sale. If any of them isn't, treat the position as unresolved and return to reconciling and diagnosing.

If not, the question becomes which source of impairment (page 13) is driving it — and each source points to what to test next, not to a fixed outcome. Operational prompts a test of whether remediation is economic; provider/contractual prompts a test of transition or contractual restructuring; capital structure prompts a test of security position, release conditions and transaction structure; fundamental asset prompts a re-test of the SDA proposition against the alternative-use position (page 12).

Is verified sustainable income currently being produced?

YES

Are funding, occupancy, provider position and enrolment evidenced?

Yes

Test: Hold vs. Performing-SDA Sale

No

Reconcile / Diagnose

NO

What is driving the impairment? (page 13)

Operational

Test: is remediation/stabilisation economic?

Provider / Contractual

Test: provider transition / contractual restructure

Capital Structure

Test: security, release conditions, structure

Fundamental Asset

Re-test: SDA proposition vs. alternative use (p.12)

PATHWAY OPTIONS

Hold

Stabilise

Provider restructure/transition

Sell as performing SDA

Sell as a special situation

Segment portfolio (p.16)

Alternative use / repurpose

The eventual pathway follows from what that testing finds — not automatically from the diagnosis alone.

Before a Realisation Strategy Is Fixed

What should I do before I commit to a strategy?

Collate and reconcile all relevant information before a realisation strategy is fixed. Where the appointee does not have specialist SDA expertise internally, consider appointing a specialist commercial adviser to undertake Specialist SDA Commercial Vendor Due Diligence.

That work moves through six broad workstreams, each covered elsewhere in this report:

1. Understand

What has actually been appointed over (pages 2, 4–5).

2. Reconcile

What is actually being claimed, collected and spent (pages 8, 11).

3. Diagnose

Which links in the chain are broken, and how forensically that needs to go (pages 13–14).

4. Remediate

What is economically worth remediating before sale (page 14).

5. Position

Packaging, timing and readiness (pages 15–16, 19).

6. Realise

Hold, stabilise, or sell through a specialist process (pages 17, 21).

This is a sequence to work through, not a form to fill in. The detail behind each workstream is appointment-specific — see page 15 for how to request it.

SOURCES Specialist Disability Accommodation Rules 2020 (Cth), current compilation · NDIS, Guide to Providing Specialist Disability Accommodation (SDA)

Where Specialist SDA Commercial Advice Adds Value

Specialist commercial vendor due diligence before sale is a core value-protection step for SDA assets. A conventional property sale process may fail to identify or resolve SDA-specific value drivers before the market prices the asset. Specialist SDA Commercial Vendor Due Diligence can distinguish between impairment that is remediable before sale and impairment that should instead be reflected in the realisation strategy — it is not a guarantee of optimal value, and this report does not claim to be one.

Some of the diagnostic and transaction work described in this report benefits from specialist SDA input — not because it is legally required, but because SDA-specific commercial judgement is not always available inside a standard property or restructuring process.

SDAHC provides specialist SDA transaction advisory, commercial vendor due diligence and market intelligence, including:

01

Triaging an SDA-exposed appointment in its first days.

02

Reconciling actual income to sustainable NOI.

03

Reviewing the property and provider position together, rather than separately.

04

Setting portfolio strategy where assets are heterogeneous.

05

Preparing a data room and sale-readiness position.

06

Running a special-situations divestment process.

Specialist input is generally most valuable before income assumptions, valuation expectations or sale strategy become fixed.

REFERENCE • PAGE 24

Sources / Disclaimer / Contact

This report combines four kinds of evidence: official public sources (NDIA, the Federal Register of Legislation, ASIC); professional valuation and transaction evidence reviewed by SDAH; anonymised SDAH commercial experience, described only as patterns, never as individual matters; and aggregated market intelligence, used only where multiple independent signals converge and explicitly described as such.

Public sources are cited to the primary document. Internal evidence has been sanitised before use — no client, property, lender, provider or buyer is identified anywhere in this report, and no figure is presented as a national statistic unless it is published by a public regulator in that form.

This report is a commercial guide. It is not legal, tax, insolvency or investment advice, and does not replace advice from a qualified adviser on any specific matter.

KEY PRIMARY SOURCES CITED IN THIS REPORT:

- NDIA, Supplement P — Specialist Disability Accommodation, Q4 2025–26 (as at 30 June 2026)
- NDIS, SDA Pricing Arrangements 2026–27
- Specialist Disability Accommodation Rules 2020 (Cth), current compilation
- NDIS, Guide to Providing Specialist Disability Accommodation (SDA)
- ASIC, Insolvency Statistics and Information Sheet INFO 80
- NDIS Amendment (Securing the NDIS for Future Generations) Act 2026; NDIA guidance on plan reassessment

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